



THE FINANCIAL SERVICES

arm of engineering and construction giant Larsen and Toubro, L&T Finance, has seen strong growth over the last few years, amid its transition towards a retail-focused NBFC.

The company has been recognised as the Best ESG Performer and the Most Sustainable Company in the Financial Sector (NBFC) in this year's *BT India's* Most Sustainable Companies.

But a few things stand out. Around 40% of the company's portfolio is rural focused; its rural book was over ₹47,000 crore at the end of March 2026 with active customers across 200,000 villages.

34 | In a way, the business is intertwined with the ESG (environmental, social and governance) framework, as it penetrates underserved geographies, generates sustainable livelihoods, promotes rural entrepreneurship and enables financial inclusion moving rural communities from unorganised to organised financing.

L&T Finance has hired over 27,000 people from rural India, and women entrepreneurs and farmers account for more than 18 million customers. According to the company, 40% of its loan book finances sustainable livelihoods.

According to Apurva Rathod, Company Secretary and Chief Sustainability Officer, L&T Finance sees sustainability as an enabler. "Each of our core portfolios has a direct sustainability link—rural business finance drives upliftment of rural women, farmer finance improves rural livelihoods, and EV two-wheeler finance contributes to India's green economy," says Rathod.

In FY24, the Mumbai-based



SOCIALLY RESPONSIBLE LENDING

L&T Finance has expanded its sustainability-linked funding through strategic partnerships

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